

Micro Set 6. Perfect Competition vs Monopoly — Singapore Hawker Stalls and SP Group

Instructions. This booklet contains a single case study contrasting perfect competition with monopoly, followed by six short-answer questions ranging from 2 to 6 marks.

Section Case Study. Two Singapore Markets: Hawker Food and Electricity Distribution

Table 1.1: Comparison Indicators, Hawker Food vs Electricity Distribution, 2024

Indicator	Hawker Food Sector	Electricity Distribution
Number of operating firms	~6,000 stalls	1 (SP Group, regulated)
Market share of largest player (%)	<0.1% per stall	100% (regulated monopoly)
Entry cost (S\$, approx)	30,000 – 80,000	>10 billion (network)
Average profit margin (%)	5–12	Regulated at 6% return on capital
Price control mechanism	Free market	Energy Market Authority cap
R&D / dynamic efficiency	Limited	Centralised, grid modernisation
Service standard variability	High	Regulated, uniform

Source: Adapted from National Environment Agency, Energy Market Authority, and SP Group Annual Report 2023.

Extract 1.1: From hawker stalls to SP Group: efficiency, scale, and consumer outcomes

The Singapore hawker food sector offers one of the closest real-world approximations to perfect competition. Approximately 6000 stalls operate across 110 government-run hawker centres, with each stall typically run by a small operator or family. The product is heterogeneous (each stall has its own recipes) but functionally similar within each cuisine, and consumers have low search costs to compare prices and quality between adjacent stalls. Entry costs are modest — a stall licence costs S\$1500–3000 monthly, equipment investment runs S\$30000–80000, and the National Environment Agency provides a relatively transparent and competitive tender process for available stalls. “If a stall consistently overprices or underdelivers, customers shift to a neighbouring stall within hours,” a long-time stall operator at Tiong Bahru Market told The Straits Times.

The economic outcome is consistent with perfect-competition theory: price approximates marginal cost, profits are competed down to a level that just covers opportunity cost, and stalls that fail to maintain quality or cost competitiveness exit. The average profit margin in the sector is estimated at 5–12 per cent, with substantial variation depending on location and cuisine. The Ministry of Sustainability and the Environment notes that “the hawker model preserves consumer welfare by ensuring that no single stall can sustain monopoly pricing.”

In contrast, Singapore’s electricity distribution is a textbook natural monopoly. SP Group, a wholly-owned subsidiary of Temasek Holdings, operates the national electricity transmission and distribution network, comprising over 22000 km of cables and 12000 transformer stations. The

fixed costs of duplicating this infrastructure are prohibitive — estimated at over S\$10 billion for a competing network of comparable scale. The economies of scale are so significant that average cost falls continuously over the relevant range of output: a single firm can supply the entire market at lower unit cost than two or more competing firms.

“Allowing free-market competition in electricity distribution would simply not work,” an Energy Market Authority (EMA) analyst said. “Two firms would duplicate the grid wastefully, raising unit costs and consumer prices.” Instead, the EMA regulates SP Group’s tariffs to ensure that the monopoly does not extract excessive rents. The current framework allows SP Group to recover its costs plus a regulated return on capital of approximately 6 per cent. “The principle is to combine the cost-efficiency benefits of monopoly scale with the consumer-welfare protection of price regulation,” the EMA states. The retail electricity market was opened to competition in 2018, but transmission and distribution remain a regulated monopoly.

A separate concern is dynamic efficiency. “A monopoly faces a different innovation incentive structure,” an NUS energy economist observed. “With guaranteed cost recovery, the incentive to invest in grid modernisation, smart-metering, and renewable integration depends on the regulator’s framework, not on competitive pressure. The EMA’s recent Grid 2050 plan, which includes S\$3.5 billion in network upgrades for renewable integration, illustrates how regulation can be designed to incentivise long-run investment.”

Source: Adapted from National Environment Agency, Energy Market Authority Singapore Energy Transition Report 2024, SP Group Annual Report 2023, and The Business Times.

Question 1**[2 marks]**

With reference to Extract 1.1, identify two characteristics of the Singapore hawker food market that make it close to perfect competition.

Question 2**[2 marks]**

Define “natural monopoly” and identify two characteristics from Extract 1.1 that make electricity distribution one.

Question 3**[4 marks]**

Using evidence from Extract 1.1, explain why the average profit margin in the hawker food sector is competed down to 5–12 per cent.

Question 4**[4 marks]**

Explain how the Energy Market Authority's regulation of SP Group's return on capital at 6 per cent affects the welfare outcome compared to an unregulated monopoly.

Question 5**[6 marks]**

With the aid of two diagrams, compare the long-run equilibrium price, output, and profit of a perfectly competitive firm in the hawker food sector with that of an unregulated monopoly in electricity distribution.

Question 6**[6 marks]**

Explain why "competition between firms" is unsuitable for electricity distribution in Singapore. Refer to Extract 1.1 in your answer.

End of Set 6 — Questions